

**FEDERAL ACQUISITION REGULATION (FAR) PART 8
LIMITED-SOURCES JUSTIFICATION (LSJ) DOCUMENT – BRAND NAME**

PROCUREMENT TITLE: ESRI ArcGIS Software Subscriptions

SOLICITATION NUMBER: HS0021-25-Q-E016

CONTRACT NUMBER: GS-35F-253CA

DELIVERY ORDER: To Be Determined (TBD)

ESTIMATED VALUE: [REDACTED]

LIMITED SOURCE AUTHORITY: FAR 8.405-6(b)

1. IDENTIFICATION OF THE AGENCY AND CONTRACTING ACTIVITY.

The United States (US) Department of Defense (DoD) Defense Counterintelligence and Security Agency (DCSA) Contracting and Procurement Office (CPO) proposes to enter into a General Services Administration (GSA) delivery order on a limited source basis for the Program Executive Office (PEO) Personnel Security System (PSS) Program Management Office (PMO).

a. Requiring Activity/Program Office:

DCSA

PSS

27130 Telegraph Road

Quantico, VA, 22314

b. Contracting Activity:

DCSA

CPO

27130 Telegraph Road

Quantico, VA, 22314

2. THE NATURE AND/OR DESCRIPTION OF THE ACTION BEING APPROVED.

The purpose of this LSJ is to obtain the necessary approvals for a limited source brand name acquisition in accordance with Federal Acquisition Regulations (FAR) 8.405-6(b)(1) – Items peculiar to one manufacturer. The proposed action is for the procurement of Enterprise Systems Research Institute (ESRI) ArcGIS software. The ESRI ArcGIS software is the PSS foundational software system for Geographic Information System (GIS), powering mapping and visualization, analytics, and data management. Only one responsible source and no other supplies or services will satisfy agency requirements.

Additionally, in accordance with FAR 8.402(f), DCSA intends to add two sole source line items on a limited source basis as Open Market Items against General Services Administration (GSA) Federal Supply Schedule (FSS) number GS-35F-253CA. The Open Market Items are for ESRI ArcGIS Developer Bundle Migration software, which automatically replaced the existing GSA FSS priced ESRI ArcGIS Developer Premium and Professional Annual Subscriptions in 2024. The total estimated value of the ESRI ArcGIS Developer Bundle Migration software is \$8,400.00, which is under the Micro Purchase Threshold of \$10,000.00.

Controlled by: DCSA CPO CUI Category: PROCURE Limited Dissemination Control: FEDCON POC: [REDACTED]
--

The DCSA PSS requires the renewal of ESRI ArcGIS software. This action is for a Firm-Fixed-Price (FFP) delivery order. The delivery order will include a 12-month subscription period from 01 May 2025 through 30 April 2026.

3. DESCRIPTION OF THE SUPPLIES/SERVICES REQUIRED TO MEET AGENCY'S NEED.

This requirement is for the acquisition of one ArcGIS Desktop Standard Single Use Primary Maintenance, five ArcGIS Desktop Standard Single Use Secondary Maintenance, two ArcGIS Developer Bundle Migration from ArcGIS Developer Premium Annual Subscription, one ArcGIS Developer Bundle Migration from ArcGIS Developer Professional Annual Subscription, two ArcGIS Enterprise Standard Up to Four Cores Maintenance, and six ArcGIS geographic information system (GIS) Server Standard Additional Cores Maintenance.

Product	Part Numbers	Quantity
ArcGIS Desktop Standard Single Use Primary Maintenance	GIS0105MP-A	1
ArcGIS Desktop Standard Single Use Secondary Maintenance	GIS0105MS-A	5
ArcGIS Developer Bundle Migration from ArcGIS Developer Premium Annual Subscription	191361 – Open Market	2
ArcGIS Developer Bundle Migration from ArcGIS Developer Professional Annual Subscription	191362 – Open Market	1
ArcGIS Enterprise Standard Up to Four Cores Maintenance	GIS6204M-A	2
ArcGIS GIS Server Standard Additional Cores Maintenance	GIS2205M-A	6

The estimated cost of this acquisition is [REDACTED].

4. AUTHORITY AND SUPPORTING RATIONALE.

This procurement is prepared in accordance with FAR 8.405-6(b)(1), items peculiar to one manufacturer and justified in accordance with FAR 8.405-6(c). FAR 8.405-6(b)(1) states the following, “Brand name specifications shall not be used unless the particular brand name, product, or feature is essential to the Government’s requirements, and market research indicates other companies’ similar products, or products lacking the particular feature, do not meet, or cannot be modified to meet, the agency’s needs.”

ArcGIS Enterprise is the foundational software system for GIS, powering mapping and visualization, analytics, and data management. It is the backbone for running the ESRI suite of applications as well as other custom applications. DCSA requires both server and workstation term licenses, that are renewed annually.

ESRI ArcGIS software is proprietary to Esri, Inc. Esri, Inc.’s software is licensed, not sold, and Esri, Inc. retains ownership and all rights to the software. Esri, Inc. is considered a monopoly and is the sole-source provider of its products and maintenance. Esri, Inc. does not have any

authorized resellers or contractual relationship enabling any third party to resell Esri, Inc.'s software maintenance. This order is a follow-on for the same / similar products previously issued. On 30 April 2024, HS0021-24-F-0035 was awarded to Esri, Inc. for [REDACTED], with a coverage period from 01 May 2024 through 30 April 2025.

5. A DETERMINATION BY THE CONTRACTING OFFICER THAT THE ORDER REPRESENTS THE BEST VALUE CONSISTENT WITH FAR 8.404(D).

The terms, conditions, and pricing under the GSA schedule are expected to represent the best value to the Government. Accordingly, under those circumstances and in accordance with FAR 8.404(d), the Contracting Officer determined the GSA contract, represents the best value for Government, terms, conditions, and pricing considered.

Esri, Inc. is the only source authorized to sell ArcGIS software. The ESRI ArcGIS software is proprietary to Esri, Inc. and is predominately available to purchase on GSA FSS GS-35F-253CA. The ESRI ArcGIS licenses are used within PSS, along with the DMRS to produce the interactive GeoMaps with drill-down capability (e.g., click on Maryland to see all outstanding BI cases). The BI organization uses maps to plan BI cases among other uses. ArcGIS allows users to author, analyze, map, manage, share, and publish geographic information ESRI. DCSA has based code off the ESRI ArcGIS software with WebFOCUS to develop mapping applications. These mapping applications rely on the use of ESRI software. Although the predominance of the prices has already been determined fair and reasonable by virtue of their established schedule(s), which allows the Government to leverage the collective purchasing power to negotiate favorable terms with GSA FSS, the Contracting Officer will make a fair and reasonable determination as well as request additional discounts.

Per FAR 8.402(f), an ordering activity may add items not on the FSS to a FSS BPA or an individual task order or delivery order. As such, the total of the new open market items, ESRI ArcGIS Developer Bundles, are under the micro-purchase threshold. The Contracting Officer has determined the anticipated price will be fair and reasonable based on publicly available pricelists for similar products. In addition, the Contracting Officer may ask the vendor for supplemental information to support a price reasonableness determination.

In order to replace ESRI products it would take at least one year of development, then another six months to test and verify each report and map to work the same as the current mapping applications. The total estimate cost to replace ESRI software would exceed \$1.4 million, including the estimated cost for GIS developers estimated over \$200,000 and one and half years of work. Not re-establishing a contract with ESRI would lead to mission failure. The continued use of the ESRI ArcGIS software represents the best value approach in fulfilling the Government's need, price and other factors considered.

6. A DESCRIPTION OF THE MARKET RESEARCH CONDUCTED AMONG SCHEDULE HOLDERS.

Market research was conducted by searching the DoD Enterprise Software Initiative (ESI) website, the National Aeronautics and Space Administration (NASA) Solutions for Enterprise-Wide Procurements (SEWP) Government-Wide Acquisition Contract (GWAC), General Services Administration (GSA) e-library, and internet searches of Google.com and various commercial GIS software resellers. There are several GIS products (Mapbox, MapInfo Pro and QGIS) similar to ArcGIS. However, none of these GIS software products can be modified to meet the Governments. Search of the DoD ESI and NASA SEWP market research tool for

ESRI ArcGIS products resulted in zero matches for products available by the contract holders. Search of the GSA e-library resulted in Esri, Inc. as the only contract holder able to provide ESRI ArcGIS products. Google search results provided ESRI website and product reviews but no resellers of ESRI ArcGIS licenses and maintenance.

Based on the results of the market research, the proposed contracting action can only be fulfilled by one source.

7. OTHER FACTS SUPPORTING THE JUSTIFICATION.

DCSA considered procuring the open market items with a Government Purchase Card, but since there is only one source DCSA determined procuring together would be administratively more efficient.

If this requirement is not met, DCSA would not be able to plan BI cases. This would be considered a mission failure that would prevent or delay the on-boarding of Government employees, though out DoD, fulfilling critical roles to execute agency's missions. DCSA would not be able to perform BI on potential or current Government employees. In addition, the cost and time to change all the maps and the applications to use a different GIS product would cost more than the price of several years of a ESRI subscription.

8. ACTIONS TAKEN AND/OR ANTICIPATED TO OVERCOME BARRIERS TO COMPETITION/MARKET RESEARCH.

DCSA will continue to monitor the market to ascertain whether there are any alternative sources available or new entrants within the commercial marketplace that meet the Government's needs.

CERTIFICATION**Program Official:**

I certify that the facts and representations under my cognizance, which are included in this justification, and which form a basis for this justification, are complete and accurate.

[REDACTED]

APPROVAL**Contracting Officer:**

I certify that this justification is accurate and complete to the best of my knowledge and belief, and that the circumstances of FAR 8.405-6(b)(1) apply. This certification serves as Approval.

[REDACTED]